

BOARD MEETING OF THE CBA

MINUTES

(30.04.2019)

On the Refinancing Rate

The CBA Board Meeting of April 30, 2019 attended by Governor Arthur Javadyan, Deputy Governors Nerses Yeritsyan and Vakhtang Abrahamyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan, and Oleg Aghasyan

The Board meeting opened with presentation of the Situation Report as of April 30, 2019. It addressed the developments on the inflation, external environment and real, fiscal and monetary sectors of the economy.

There was **0.1% inflation in March of 2019** which, unlike previous months, was due to changed prices in commodity group “Non-food products” observed this month. In particular, in groups such as “Clothes and footwear” and “Fuel” the prices grew during the month by 2.1% and 0.2%, respectively (with a combined contribution of 0.1 pp to the month’s inflation). In March, there was a price increase in groups “Fruit” and “Bread products and grains” too, by 1.3% and 1.0%, respectively, with a combined 0.13 pp contribution to inflation, whereas the fall in prices of the rest of products in “Food products” commodity group has completely absorbed that impact on inflation and has even suppressed it by 0.04 pp. In March, the 12-month inflation remained intact, 1.9%, as inflation registered for the same month of the previous year had been 0.1% too. **The 12-month core inflation also behaved steadily, settling on the previous month’s level of 1.3%.**

Addressing the current economic environment, the Board stated that economic activity in the first quarter of 2019 was high enough, as was expected, making up 6.5%, owing to the growth in services and construction. Domestic demand continues incurring the impact of strong growth in private consumption, which was coupled with **fiscal policy implementation that proved more contractionary than anticipated. However, it is estimated to be offset starting from the second half of the year at the expense of increasing state budget expenditures, and the fiscal impulse on domestic demand will, according to the year’s results, be neutral.**

The Board looked to the latest external sector developments which are pointing to continued slowing of global economic growth and slackened global demand. At the same time, **the inflation environment in the**

international markets of raw materials and food products remains weak. In such a situation, central banks in the leading countries announce that they will be keeping monetary conditions more moderate in the near future.

The developments in the domestic financial market were touched upon. The Board admitted that in the period March-April **interest rates in the financial market have generally shaped around the policy rate**, sustaining a certain degree of stability.

Following the discussion of the Situation Report and of the developments in external and domestic macroeconomic environments, the Board began addressing the monetary policy directions and making a decision on the interest rate. The options whether the refinancing rate is to be left unchanged or lowered were considered. In the current situation, **once again going for a gradual recovery of inflation, the Board of the CBA finds it reasonable to leave the refinancing rate unchanged**, given also the lack of significant inflationary effects from external and domestic economies in the upcoming period because of persistently weak global and domestic demand. The Board estimates that in view of predictable macroeconomic developments the Central Bank will continue keeping monetary conditions expansionary for as long as required, in fulfillment of the inflation target in the medium run. **As a result, the expectation is that in the coming months the inflation will run below the target, stabilizing around the established value later on.**

The Board also referred to existing inflationary risks which are mostly on a downside path and associated with a possibly weaker private demand and the implementation of a more contractionary fiscal policy. In the event these risks materialize, an appropriate monetary policy response will follow in order to ensure price stability in the medium-term perspective.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

Deciding on the Interest Rate

CODE

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April 30, 2019

No. 59 A

Interest Rates of Operations by the Central Bank of the Republic of Armenia in the Financial Market

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. To leave the refinancing rate of the Central Bank of the Republic of Armenia unchanged, 5.75%.
2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the interest rates, as follows:
 - 2.1 Lombard facility rate offered by the Central Bank to be 7.25%.
 - 2.2. Deposit facility rate offered by the Central Bank to be 4.25%.
3. This decision shall take force on the day following the adoption thereof.

Arthur Javadyan,

Governor of the Central Bank

April 30, 2019

c. Yerevan

PRESS RELEASE
30.04.2019

In the April 30, 2019 meeting, the Board of the Central Bank of Armenia decided to leave the refinancing rate unchanged, at a 5.75% level.

There was 0.1% inflation in March of 2019, as much as in the same period of the previous year, in which case the 12-month inflation rate remained unchanged, 1.9%. The core inflation rate behaved similarly steady, amounting to 0.2% in March, while for a 12-month period it stayed on a 1.3% level, as was recorded in the previous month.

Sluggish global economic growth rates are in line with the Central Bank's forecasts, reflecting a weakening global demand and a low inflation environment persisting in international markets of basic commodities. In the meantime, central banks of leading countries prepare to provide for milder-than-expected monetary conditions. In view of these developments, the Board of the Central Bank considers that inflationary pressures from the external sector in the upcoming months are not likely.

The Board states that economic activity in January-March of 2019 was higher, consistent with predictions, making up 6.5%, with private consumption growth remaining a key driver to growth. At the same time, according to the results of the year's past four months, the fiscal policy had a more than anticipated contractionary impact on the domestic demand, owing to the deficit that came in considerably smaller than forecasted. The assumption, however, is that the fiscal policy will mainly have a neutral impact on inflation during the year, as the contractionary effect it had on the domestic demand previously is expected to phase out in the second half of the year.

In consideration of the current situation, the Board finds it reasonable to keep monetary conditions expansionary by leaving the refinancing rate unchanged. At the same time, in view of the anticipated macroeconomic developments, to leave monetary conditions expansionary for a lasting period will be needed for maintaining price stability in the medium run. As a result, the expectation is that the inflation will be running below the target in the coming months but later stabilizing around the target.

It should be noted that downside risks to inflation are still persisting, which is associated with possible weaker private demand and more contractionary fiscal policy. Anyway, the Central Bank will keep a watchful eye on existing risks and the ones that may arise with an adequate monetary policy response, in order to maintain price stability in the medium run.

Detailed information that underlies the decision on setting of the interest rate will be available in Press Release (Minutes on Interest Rate) to be published by May 16, 2019.

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Press Service of the Central Bank of Armenia